

Personal study · not live market data

03 — RSI 40/60 ranges (neutral, bullish, bearish)

This is the core Malkan RSI, **not** Wilder's 30/70 overbought/oversold cartoon.

RSI here is **14**. Lines drawn: **40** and **60**.

Three ranges

Bullish

RSI lives roughly **40–80**. Pullbacks **hold 40**. Crosses and holds of **60** are strength, not “sell because overbought.”

Neutral

RSI chops **40–60**. No side. 3×3 does not need a trade. **Skip** is the skill.

Bearish

RSI lives roughly **20–60** (some notes use ~30–60/65). Rallies **fail 60**. Loss of **40** is weakness, not an automatic “buy because oversold.”

How to read one chart in 10 seconds

1. Last 20–30 RSI bars: which **box** did they live in? 2. Last test of 40: bounce or break? 3. Last test of 60: hold as floor or rejection as ceiling?

Write: **BULL** / **NEUTRAL** / **BEAR** on M, on W, on D separately. They can disagree. That disagreement **is** the next lessons (shift, GFS).

Inflection

- In a **bullish** higher-timeframe story, **daily RSI ~40** is the dip to study (with a candle + level).
- In a **bearish** higher-timeframe story, **daily RSI ~60** is the rally to study.

Do not buy every 40. Do not short every 60. Range first.

Practice on the chart pack

For each timeframe stamp:

M: ____ W: ____ D: ____ (bull / neutral / bear)

If you cannot decide in 20 seconds, it is **neutral** or **messy** — same action: no force.